

Nature, Concept, Features and Importance of Public Finance



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INTRODUCTION

- Public finance is a field of economics concerned with **how a government raises money, how that money is spent and the effects of these activities on the economy and society.**
- It studies how governments at **all levels—national, state and local**—provide the public with desired services and how they secure the financial resources to pay for these services.
- Public finance deals with the **finances of public bodies – national, State or Local** – for the performance of their functions. The performance of these functions leads to expenditure.
- The **expenditure is incurred from funds raised through taxes, fees, sale of goods and services** and loans. The different sources constitute the revenue of the public authorities.
- Public finance studies the **manner in which revenue is raised; the expenditure is incurred upon different items etc.** Thus, public finance deals with the income and expenditure of public authorities and principles, problems and policies relating to these matters.



Definitions of Public Finance

- **Charles F. Bastable (Public Finance – 1892):** For all States – whether crude or highly developed – some provisions of the kind are necessary and there for supply and application of state resources constitute the subject matter of a study which is best entitled in English as Public Finance.
- **Prof. Dalton:** It deals with the income and expenditure of public authorities and with the adjustment of one to another.
- **Prof. Findlay Shirras:** The study of the principles underlying the spending and raising of funds public authorities.
- **Harold Groves:** A field of enquiry that treats the income and out goes of governments –federal, state, and local.
- **PE. Taylor (The Economics of public finance):** Public Finance is the fiscal science, its policies are fiscal policies, its problems are fiscal problems.



Definitions of Public Finance

- **Mrs. Ursula Hicks:** The main content of Public Finance consists of the examination and appraisal of the methods by which governing bodies provide for the collective satisfaction of wants and secure the necessary funds to carry out this purpose.
- **CS Shoup:** The discipline of Public Finance describes and analyses the government services, subsidies and welfare payments and methods by which the expenditure to these ends are covered through taxation, borrowing, foreign aid and creation of new money.
- **Prof. J.K. Mehta:** Public finance then constitutes a study of the monetary and credit resources of the state.



IMPORTANCE OF PUBLIC FINANCE

- **Provision of public goods:** For providing public goods like roads, military services and street lights etc.
- Public finance enables governments to **tackle or offset undesirable side effects of a market economy**. The side effects are called spill overs or externalities. For example, pollution.
- Public finance **helps governments to redistribute income**. To reduce the inequality in the economy, the governments can impose taxes on the richer people and provide goods and services for the needy ones.
- Public finance provides many a programme **for moderating the incomes of the rich and the poor**.
- The acceptance of the **principle of welfare state**, the role of public finance has been increasing. Modern governments are no more police states as the classical economists viewed.
- Generation of **employment opportunities, control of economic fluctuations** like boom and depression, maintaining economic stability etc. are some of the thrust areas of the governments through fiscal operations.



SUBJECT MATTERS OF PUBLIC FINANCE

- **Public Revenue:** The income of the states is referred to as Public Revenue. In this branch, we study the various ways of raising revenue by the public bodies. We also study the principles and effects of taxation and how the burden of taxation is shared among the various classes of society etc.
- **Public Expenditure:** It deals with the principles and problems relating to the allocation of public spending. We study the fundamental principles governing the flow of public funds to different channels, classification and justification of public expenditure; expenditure policies of governments and the measures adopted for welfare state etc.
- **Public Debt:** The governments borrow when its revenue falls short of its expenditure. Public debts is a study of various principles and methods of raising debts and their economic effects. It also deals with the methods of repayments and managements of public debts.
- **Financial Administration:** It deals with the methods of Budget preparation, various types of Budgets, war Finance, Development Finance etc. Thus, financial administration refers to the mechanism by which the financial functions are carried on.
- **Economic stabilization and Growth:** The use of Public revenue and Public expenditure to secure stability in levels of prices by controlling inflationary as well as deflationary pressures is studied.



Public Finance and Private Finance (Similarities)

- Both the **State as well as individual aim at the satisfaction of human wants** through their financial operations. The individuals spend their income to satisfy their personal wants whereas the state spends for the satisfaction of communal or social wants.
- Both the States and Individual at times **have to depend on borrowing**, when their expenditures are greater than incomes.
- Both Public Finance and Private Finance **have income and expenditure**. The ultimate aim of both is to balance their income and expenditure.
- For both kinds of finances, the **guiding principle is rationality**. Rationality is in the sense that maximization of personal benefits and social benefits through corresponding expenditure.
- **Both are concerned with the problem of economic choice**, that is, they try to satisfy unlimited ends with scarce resources having alternative uses.



Public Finance and Private Finance (Differences)

- The private individual has to **adjust** his expenditure to his income. Government first determines its expenditure and then the ways and means to raise the necessary revenue to meet the expenditure.
- The government has **large sources of revenue** than private individuals.
- The state, when hard pressed, can resort to **printing of currency**, as additional source of revenue.
- The state **prepares its budget annually**. But there is no such limitation for an individual.
- A **surplus budget** is always good for a private individual but may not be good for the government.
- The individuals hanker after **profit**. But the states expenditure is guided by the welfare motive.
- The private individual spends his income on various items in such a manner as to **secure equi-marginal utilities** from them. The government does not give as much importance to this law.
- Individuals always seek **quick returns**. State spends on projects having long gestation period.
- An individual's spending policy has very little impact on the society as a whole. But the state can **change the nature of an economy** through its fiscal policies.
- Private Finance is always a **secret affair**. Government budget is widely discussed.
- Individuals can **plan to postpone** their private expenditure. Findlay Shiraz says that compulsory character is an important feature of public finance.



Major Fiscal Functions

- According to Professor Musgrave there are three major fiscal or budgetary functions of the governments. They are:
- **Allocation functions:** There are certain cases in which the wants of all individuals cannot be satisfied through market mechanism. In such cases the public sector or the governments have to provide goods and services.
- **Distribution functions:** It deals with the determination of taxes and transfer payments policies of the governments.
- **Stabilization functions:** It deals with the use of budgetary policy as a means of maintaining high employment, a reasonable degree of price stability and an appropriate rate of economic growth, with allowances for effects on trade and balance of payments. The major instruments of stabilization policy are monetary policy and fiscal policy. This function is otherwise known as compensatory finance.



Principle of Maximum Social Advantage by Professor Hugh Dalton

- Just like an individual seeks to **maximize his satisfaction or welfare** by the use of his resources, the state ought to maximize social advantage or benefit from the resources at its command.
- The best system of public finance is that which **secures the maximum social advantage** from the operations which it conducts. It may be also called the principle of maximum social benefit
- **Public expenditure creates utility** for those people on whom the amount is spent. Taxation, on the other hand, imposes burden on the people.
- **State should balance the social burden of taxation and social benefits** of Public expenditure in order to have maximum social advantage.
- According to Dalton, maximum social advantage is at a **point where the Marginal Social Sacrifice (MSS) of taxation and Marginal Social Benefit (MSB) are equal.**
- **A.C. Pigou** has called it the principle of **maximum aggregate welfare.**
- **Musgrave calls Dalton's principle as "Maximum Welfare Principle of Budget Determination."** He puts that the optimum size of the budget is determined at point where Net Social Benefit (NSB) of fiscal operations to the society becomes zero. The NSB is the difference between MSB and MSS.



Four Categories of Goods

PUBLIC GOODS

- The **use of such goods by one individual does not reduce their availability to other individuals**. For example, the national defence.
- **Marginal cost** of providing the public goods to additional consumers is **ZERO**.
- **Non-excludable**: Once a public good is produced, the suppliers cannot easily deny it to those who fail to pay. That is, those who cannot (or do not agree to) pay its market price are not debarred or excluded from its use.
- **Free-rider problem**: People can enjoy the benefits of public goods whether pay for them or not, they are usually unwilling to pay for public goods. This act is the so-called free-rider problem.



Four Categories of Goods

PRIVATE GOODS

- Private goods refer to all those goods and services **consumed by private individuals** to satisfy their wants. For example, **food, clothing, car etc.**
- **Excludable:** - The suppliers of private goods can very well exclude those who are unwilling to pay.
- **Rivalry in consumption:** - One person's consumption reduces the amount available to others. That is, the amount consumed by one person is unavailable for others to consume.
- **Revealed Preference:** - The consumers reveal their preferences through effective demand and market price. These revealed preferences are the signals for the producers to produce the goods the individuals want.



Four Categories of Goods

MIXED GOODS OR QUASI PUBLIC GOODS:

- As the name suggests, mixed goods possess **characteristics of both private and public goods**.
- It is clear that the external benefit associated with the consumption of a private services, itself bears the characteristics of a public good.
- Suppose, a **person 'A' derives private benefit from being vaccinated against polio**. He derives not only a private benefit but also generate an **external effect** in so far as, he reduces the chance of infection for all other individuals with whom he comes into contact.



Four Categories of Goods

MERIT GOODS:

- Those **goods whose consumption and use are to be encouraged** are called merit goods (e.g.; education) and goods whose consumption and use are to be discouraged are called non-merit goods or demerit goods (e.g., liquor, narcotic etc.) drugs.
- Merit goods are **rival and excludable**. Governments provide merit goods in order to ensure distributional justice. These are goods which governments feel if people will under consume or produce and therefore should be subsidized or provided free.
- Examples of merit goods are **education, mid-day meals in schools, essential food articles etc.** This **concept was introduced by Prof.R.A.Musgrave in 1959.**



CONCEPT CHECK QUESTION

Q. According to Professor Musgrave, fiscal functions of government include:

- a) Allocation functions
- b) Distribution functions
- c) Stabilization functions
- d) All of the above

Solution – d)



THANK YOU

